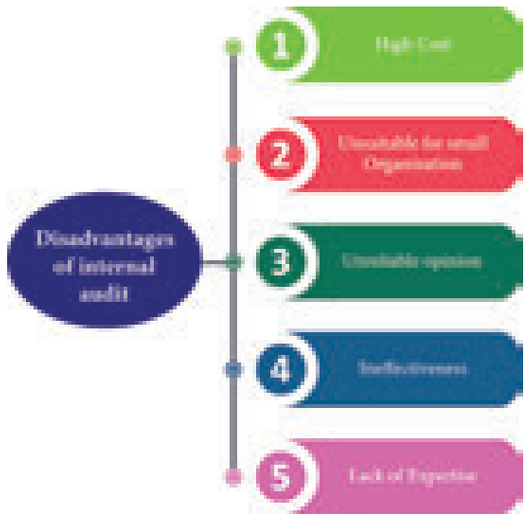
3.7 Disadvantages of Internal Audit

The following are the limitations or disadvantages of Internal Audit:



1. **High Cost:** The cost of establishing and operating an internal audit in an organization is very expensive.
2. **Unsuitable for Small Organization:** Internal audit due to involvement of high cost is not suitable for small organizations.
3. **Unreliable Opinion:** Internal auditor's are employees of the organization and hence the report given by them may not be true and fair. Often, external auditor has reservations about the opinions expressed by the internal auditor.
4. **Ineffectiveness:** When the records of operations are not checked immediately after they are completed or when there is time lag between two audits, internal audit may become ineffective.
5. **Lack of Expertise:** Internal audit staff lacks the required skill and expertise as they are not professionally qualified chartered accountant.

3.8 Differences Between Internal Check and Internal Audit

S.No.	Basis	Internal Check	Internal Audit
1.	Meaning	Internal check is an arrangement of work in such a way that another person automatically checks the work of one person.	Internal audit is an independent appraisal of the operations of the company.
2.	Objects	The object of internal check is to prevent the occurrence of errors and frauds.	The object of internal audit is to detect errors and frauds.
3.	Scope of work	Internal check is considered as a device for doing the work.	Internal audit is a device for checking the work.
4.	Discovery of errors and frauds	In internal check errors and frauds are discovered during the course of doing the work.	In internal audit errors and frauds are discovered after the completion of the work.

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